

value per share had increased 129% and its return on capital had risen by more than one-third to 21%.

By any standard, Expeditors was a superb business. But the little freight-forwarding company, with its base in Seattle and much of its operations in Asia, was all-but-unknown on Wall Street. Only 32% of the shares were owned by institutional investors; in fact, Expeditors had only 8,500 shareholders. After doubling in 1999, the stock was priced at 39 times the net income Expeditors would earn for the year—no longer anywhere near cheap, but well below the vertiginous valuation of EMC.

The Promised Land?

By the end of 1999, Exodus Communications seemed to have taken its shareholders straight to the land of milk and honey. The stock soared 1,005.8% in 1999—enough to turn a \$10,000 investment on January 1 into more than \$110,000 by December 31. Wall Street's leading Internet-stock analysts, including the hugely influential Henry Blodget of Merrill Lynch, were predicting that the stock would rise another 25% to 125% over the coming year.

And best of all, in the eyes of the online traders who gorged on Exodus's gains, was the fact that the stock had split 2-for-1 three times during 1999. In a 2-for-1 stock split, a company doubles the number of its shares and halves their price—so a shareholder ends up owning twice as many shares, each priced at half the former level. What's so great about that? Imagine that you handed me a dime, and I then gave you back two nickels and asked, "Don't you feel richer now?" You would probably conclude either that I was an idiot, or that I had mistaken you for one. And yet, in 1999's frenzy over dot-com stocks, online traders acted exactly as if two nickels were more valuable than one dime. In fact, just the news that a stock would be splitting 2-for-1 could instantly drive its shares up 20% or more.

Why? Because getting more shares makes people *feel* richer. Someone who bought 100 shares of Exodus in January watched them turn into 200 when the stock split in April; then those 200 turned into 400 in August; then the 400 became 800 in December. It was thrilling for these people to realize